



MUSIC HABITAT · PRIVATE RAISE · ACCREDITED

TERM Sheet.

ACCREDITED · 506(c)

Non-binding summary of proposed terms for the Private Raise, offered solely to verified accredited investors. For discussion purposes only. Not an offer to sell securities.

IDENTITY & STRUCTURE

ISSUER	Music Habitat, Inc., a Montana corporation
ROUND	Private Raise · Accredited
EXEMPTION	Rule 506(c) of Regulation D — General solicitation permitted to verified accredited only
ELIGIBLE INVESTORS	Accredited investors only · Verified under Rule 501
SECURITY OFFERED	SAFE / Class B Preferred Shares — by tier (see below)

TIER STRUCTURE

TIER 1 · INVESTORS 1–25	SAFE Agreement + Warrant
TIER 2 · INVESTORS 26–35	Class B at \$1.25 + Warrant
TIER 3 · INVESTORS 36+	Class B at \$1.25 only

ECONOMICS

PRE-MONEY VALUATION	\$12,500,000
TOTAL SHARES DECLARED	10,000,000 across all classes (Class A · Class B · Class C)
SHARE PRICE	\$1.25 per share (fixed)
WARRANT COVERAGE	2× Purchased Shares (or SAFE Conversion Shares for Tier 1) at 95% of FMV
WARRANT EXERCISE	Nine (9) months from grant date
MINIMUM INVESTMENT	\$2,500 per investor (2,000 shares)
MAXIMUM INVESTMENT	By allocation · Issuer discretion
AGGREGATE RAISE TARGET	\$750,000



RIGHTS & PROTECTIONS

VOTING	Class A: 15 votes/share (Founder) · Class B: 1 vote/share · Class C: none
PARI PASSU	Class B at all times pari passu with Class A on economic entitlements
INFORMATION RIGHTS	Unaudited quarterly within 45 days · Annual within 90 days
PREEMPTIVE RIGHTS	Pro-rata participation on future equity issuances
TAG-ALONG · DRAG-ALONG · ROFR	Per Stockholders' Agreement

SAFE TERMS · TIER 1

VALUATION CAP	\$12,500,000
DISCOUNT	5% (95% of next round)
CONVERSION TRIGGER	Qualified Financing $\geq$ \$1M, OR gross revenues $\geq$ \$500K, OR $\geq$ 100K registered users — whichever first
CONVERTS INTO	Class B Preferred Shares

CLOSING & DOCUMENTS

DEFINITIVE DOCUMENTS	SAFE · Stock Purchase · Subscription · Stockholders' · Operating · Warrant Agreement
ACCREDITATION	Verified under Rule 501 prior to acceptance (506(c) verification)
CAP TABLE PLATFORM	Carta (carta.com)
GOVERNING LAW	State of Montana · AAA binding arbitration, Missoula, MT
USE OF PROCEEDS	AI · Tech R&D · UX UI · Product Design · Marketing · Launch · Operations · Legal
EXPECTED CLOSING	[_____, 2026]

This Term Sheet is non-binding and for discussion purposes only. It does not constitute an offer to sell securities. Any offering of securities is made exclusively through the SAFE, Stock Purchase, Subscription, Stockholders', Operating, and Warrant Agreements, and is limited to investors whose accredited status has been verified under Rule 506(c) of Regulation D. General solicitation is permitted only with respect to verified accredited investors.